

Econ 101 | MiniExam X

This MiniExam will take 20 minutes with a break to follow. MiniExams are designed to both test your knowledge and challenge you to apply familiar concepts in new environments. Treat it as if you're trying to show me that you understand the material. Show your work so I can understand your thought process for partial credit. And answer clearly and completely.

Accademic Conduct Code

The following accademic conduct code is designed to protect the integrity of your work, not to make school feel overbearing. Print your name/initials beside the five accademic honesty agreements before beginning.

_____ I pledge to my fellow students, the university and the instructor, that I will complete this MiniExam solely using my own work.

_____ I will use the internet only to submit the MiniExam to Box. I will use no other online resources unless explicitly and individually cleared by the instructor.

_____ I am free to use hardcopy resources (the textbook, printed materials, hardcopy notes). I am allowed to use digital resources (resources stored on my computer, table, or phone) explicitly and individually cleared by the instructor.

_____ I will not communicate with others about the MiniExam, either in the room or remotely with a communication device.

_____ I will not discuss the MiniExam with students who did not take the MiniExam during the same class period.

“You got your quills ready?”

From Local Markets to Global Skies: The Fascinating World of Enchanted Broomstick Trade

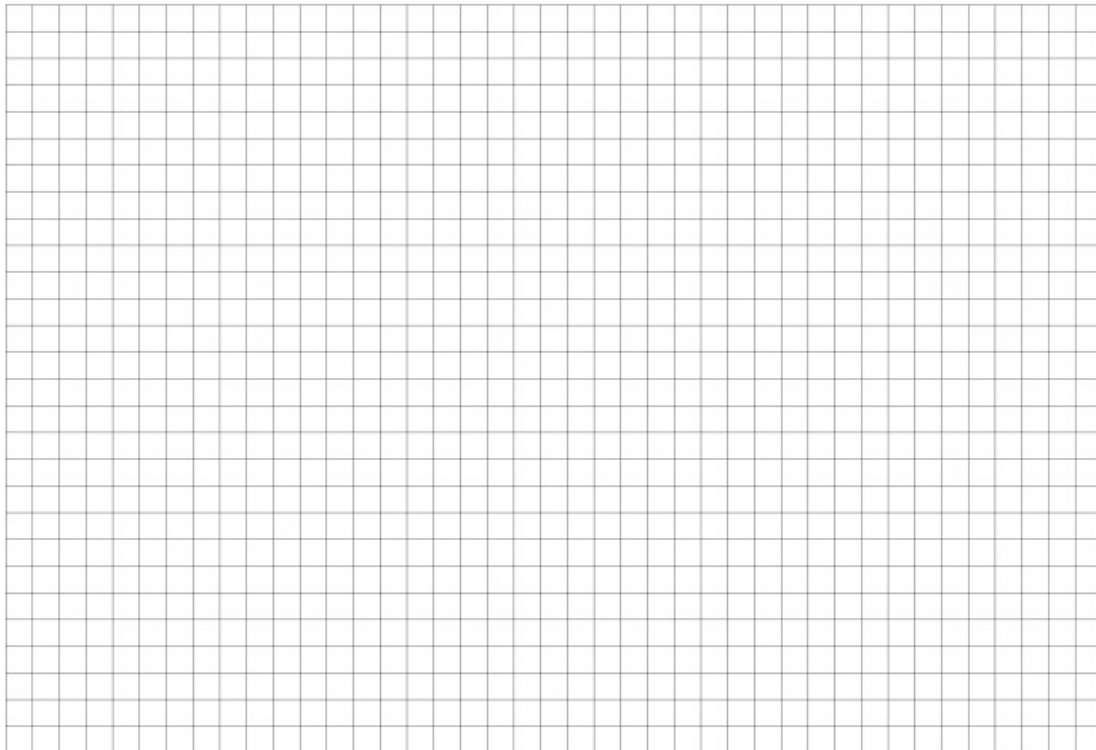
Question 1 (of 3) | Unlocking the Magic

In the British wizarding world, the demand for enchanted broomsticks has always been high. For nearly all of recent history the Ministry of Magic required broomsticks to be made and purchased locally. The ministry got wind of some economics ideas around opening the domestic market to international trade and has hired you to offer advise on the impact this policy would have on the domestic broomstick market. The world price for enchanted broomsticks is 6 galleons and the supply and demand curves for enchanted broomsticks are as follows:

$$P = 16 - \frac{1}{4}Q_D$$

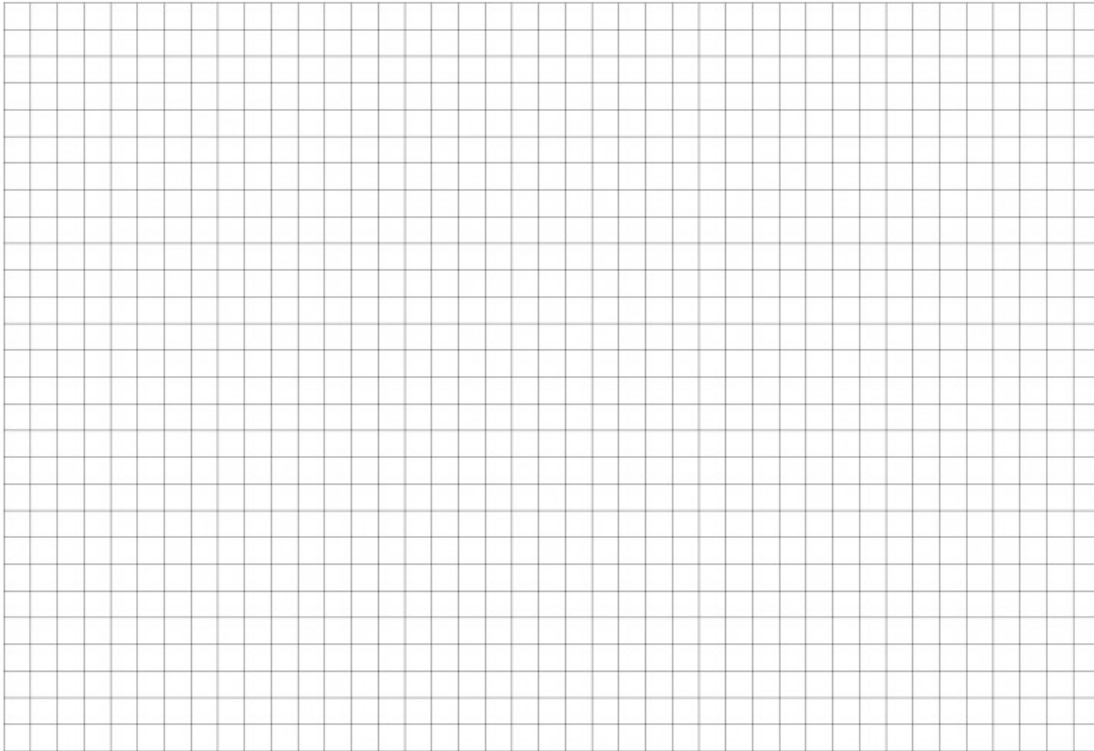
$$P = 4 + \frac{1}{4}Q_S$$

Use a market model to analyze the impact. Give special focus to the welfare impacts on buyers and sellers. No need to calculate welfare measures. Do calculate the impact to prices and quantities.



Question 2 (of 3) | Spellbound by Tariffs

In response to the reports from you and other economists, the Ministry decided to try to both insulate the domestic market from the global market and raise revenue by imposing an import tariff of 2 galleons on each broomstick imported into the domestic market. Use a model to analyze the impact this policy had on the market. Pay special attention to the distributional impacts on welfare, government revenue, and any loss in welfare. Be sure to calculate government revenue and deadweight loss.



Question 3 (of 3) | An Alternative World

If instead of a price of 6 galleons in Question 1 the global price had been 14 what would have been the distributional impact of opening the domestic market for trade? No need to do math here. Simply use a graph to show the impact on the market.

